

Paradiem

The Morning Brief

JULY 5, 2026

OPEC+ Sunday

Iran funeral extends through July 9 and OPEC+ reportedly weighs another ~188K bpd August increase Sunday; markets reopen Monday into ISM Services and Wednesday's FOMC minutes.

S&P 500 (THU CLOSE)	DOW (THU CLOSE)	BRENT CRUDE (FRI)	BITCOIN (LIVE)	FEAR & GREED (CNN)
\$744.78 · ↑1.8% on the week	\$527.88 · ↑2.0% record close	~\$71.79 · reportedly fourth weekly loss	~\$61,850 · weekend tape steady	32 · Fear per public feed

SECTION 01

Markets — Week in Review: A Weak Payrolls Print Reportedly Reset the Rate Path Into a Broad Advance and Defensive-Led Rotation as OPEC+ Weighs Another August Output Increase Into Monday's Reopen

THE HOLIDAY-SHORTENED WEEK REPORTEDLY CLOSED HIGHER ACROSS ALL THREE MAJOR INDICES PER REUTERS AND CNBC COVERAGE — S&P 500 PROXY ↑1.8%, DOW PROXY ↑2.0% (REPORTEDLY A RECORD CLOSE PER CNBC/THESTREET), NASDAQ PROXY ↑2.1% — BUT THE COMPOSITION REPORTEDLY SPLIT BETWEEN A DEFENSIVE BID (XLV ↑2.63%, XLU ↑2.21%, XLP ↑2.03% THU PER DATA DROP) AND A TWO-SESSION CHIP GIVE-BACK (LRCX ↓10.19%, MRVL ↓9.84%, CRDO ↓6.63%, KEYS ↓6.48%, AMD ↓4.26%) AS THE +57K JUNE PAYROLLS PRINT VS A REPORTED ~115K DOW JONES CONSENSUS REPORTEDLY RECAST THE RATE PATH PER BLS/CNBC

For FCI's framework, the week's cross-asset composition reads as constructive at the index level but rotational underneath. Defense-sleeve firming continued with LMT reportedly closing at \$545.91 (↑4.62% Thu per the data drop) on reported \$3.5B Ultra Maritime frontrunner status per Yahoo, and GD at \$373.54 (↑2.94%). The precious-metals complex reportedly registered the largest single-session move of the week with GLD ↑2.03% to \$378.13 and SLV ↑2.69% to \$55.02 per the data drop, and the digital sleeve extended a recovery with IBIT at \$34.87 (↑2.56%) and ETHA at \$12.86 (↑5.50%). Per the BLS Employment Situation release cited via CNBC, June nonfarm payrolls reportedly rose 57,000 — reportedly the lowest monthly gain in four months per Trading Economics — against a reported ~115K consensus, with the unemployment rate reportedly declining to 4.2% from May's reported 4.3% on a reported 0.3pp drop in labor-force participation to 61.5% per BLS/CNBC, and April and May reportedly revised down by a combined 74K. Per Tradeweb coverage, the 10-year Treasury yield reportedly closed near 4.48% Thursday ahead of the Friday bond-market closure per SIFMA schedule.

S&P 500 (THU CLOSE)	\$744.78 · ↑1.8% on the week per Reuters
DOW (THU CLOSE)	\$527.88 · ↑2.0% on the week · reported record per CNBC
NASDAQ (THU CLOSE)	\$712.60 · ↑2.1% on the week per Reuters
PRECIOUS METALS (THU)	GLD \$378.13 ↑2.03% · SLV \$55.02 ↑2.69% · largest session move
DIGITAL ETFS (THU)	IBIT \$34.87 ↑2.56% · ETHA \$12.86 ↑5.50% · recovery bid
10Y TREASURY (THU)	~4.48% per Tradeweb · bond market reportedly closed Fri per SIFMA
CARSON'S SPY SUPPORT	\$645.80 · active · well-removed from Thu intraday low \$740.03

OPEC+ REPORTEDLY CONVENES SUNDAY TO WEIGH A REPORTED FOURTH CONSECUTIVE ~188K BPD OUTPUT INCREASE FOR AUGUST PER REUTERS/CNBC COVERAGE — THE MOVE WOULD REPORTEDLY ADD SUPPLY INTO A REPORTED FOURTH CONSECUTIVE WEEKLY LOSS FOR OIL PER NATIONALNEWS COVERAGE AS STRAIT OF HORMUZ SHIPPING RECOVERS, WITH BRENT REPORTEDLY NEAR \$71.79 AND WTI NEAR \$68.50 AS OF FRIDAY PER THE SAME COVERAGE — THE WEDNESDAY JULY 8 RELEASE OF THE REPORTED FIRST WARSH-CHAired FOMC MINUTES IS THE

REPORTED PRIMARY RATE-PATH SIGNAL INTO THE JULY 29 MEETING

Per Reuters and CNBC coverage cited via multiple outlets, OPEC+ producers are reportedly expected to approve a reported ~188,000 bpd August output increase at their Sunday virtual meeting — reportedly the fourth consecutive monthly hike since the Hormuz reopening framework. For FCI's Energy sleeve, the reported OPEC+ decision layers on top of what Nationalnews coverage described as a reported fourth consecutive weekly decline in crude as the Strait of Hormuz shipping premium continues to unwind; per the same coverage, Saudi crude exports have reportedly recovered to roughly 90% of pre-war levels, and Citigroup reportedly sees Brent moving to \$60 by year-end. Per Kiplinger coverage, next week's calendar includes ISM Services (Mon), Wed FOMC minutes, initial jobless claims and existing home sales (Thu), with PepsiCo (PEP) reportedly on Thursday and Delta Air Lines (DAL) reportedly on Friday July 10 per Delta's IR calendar. Carson's SPY support at \$645.80 remains active, well-removed from Thursday's intraday low \$740.03.

Simplicity Over Complexity.

The week's composition reportedly compressed into two threads: a rate-path reset that lifted defensives and precious metals, and a supply picture that reportedly keeps pressuring energy into Monday's reopen. Research Reveals Opportunities.

Geopolitics — Iran Funeral Continues Through July 9 With the Doha Track Reportedly Paused; OPEC+ Sunday Meeting Reportedly Weighs a Fourth Consecutive Supply Increase as Iran Explores Reported Oil Sales to Japan Ahead of the August 21 Sanctions Waiver Expiration per Reuters

PER CBS NEWS, CNN, AND WASHINGTON POST COVERAGE, THE MULTI-DAY CEREMONIES FOR FORMER SUPREME LEADER AYATOLLAH ALI KHAMENEI REPORTEDLY CONTINUE ACROSS IRAN AND IRAQ THROUGH JULY 9, WITH THE U.S.–IRAN DOHA TRACK REPORTEDLY TO RESUME AT THE REPORTED EARLIEST FEASIBLE DATE PER DECCAN HERALD/AL JAZEERA — THE REPORTED HORMUZ TOLL DISPUTE REMAINS THE REPORTED HARDEST OPEN ITEM PER AXIOS, AND THE TRUMP-SIGNED JUNE 17 FRAMEWORK REPORTEDLY RUNS A 60-DAY NEGOTIATING WINDOW NOW NARROWED BY THE FUNERAL PAUSE PER AL JAZEERA

For FCI's framework, the funeral window reportedly gates a five-plus-day diplomatic gap during which the mediator track is offline. Per Reuters coverage cited in the data drop headlines, Iran has reportedly begun exploring oil sales to Japanese buyers, with three prospective buyers reportedly seeking a longer U.S. sanctions waiver beyond the reported August 21 expiration and reported shipping guarantees before committing. For FCI's Energy sleeve, the reported record UAE June flows per Reuters coverage in the data drop layer supply cushion against the geopolitical premium; Thursday's data drop showed USO at \$103.98 (↑0.69%) and BNO at \$39.67 (↑0.66%) reportedly reflecting a modest bid off the mid-week decline, with FCI upstream showing CVX at \$169.20 (↑2.12%), OKE at \$87.83 (↑2.45%), DVN at \$40.47 (↑0.55%) per the data drop, and VLO at \$267.76 (↓0.62%). Per gCaptain and Reuters coverage, CMA CGM Chairman Rodolphe Saade reportedly indicated Friday that the San Antonio containership hit by a missile in the Strait in early May is reportedly damaged severely enough to warrant potential scrapping — a reminder that transit risk premia have not fully normalized even as flows recover. **The physical world matters.**

OPEC+ REPORTEDLY CONVENES SUNDAY FOR A VIRTUAL MEETING TO APPROVE A REPORTED ~188K BPD OUTPUT INCREASE FOR AUGUST PER REUTERS/CNBC COVERAGE — REPORTEDLY THE FOURTH CONSECUTIVE MONTHLY HIKE PER DISCOVERY ALERT COVERAGE — ADDING SUPPLY INTO A REPORTED FOURTH CONSECUTIVE WEEKLY DECLINE IN CRUDE PER NATIONALNEWS COVERAGE AS HORMUZ SHIPPING RECOVERS; SAUDI EXPORTS REPORTEDLY AT ~90% OF PRE-WAR LEVELS PER THE SAME COVERAGE

For FCI's energy sleeve, the reported OPEC+ decision layers on top of the reported UAE record-flow readout in the June export data (per Reuters coverage in the data drop) and the reported Saudi recovery per Nationalnews. Per Nationalnews and OilPrice coverage, Citigroup reportedly sees Brent moving to \$60 by year-end citing improved shipping conditions and market normalization. For FCI's Materials sleeve, the reported record first-half M&A cadence per Yahoo coverage cited in the prior brief series continues, with GPC reportedly moving ↑12.92% Thursday on the reported O'Reilly ~\$10B cash bid for the auto unit per Yahoo. Per Reuters coverage in the data drop, NATO leaders reportedly convened in Ankara this week to reportedly reconcile alliance

tensions and affirm ironclad collective defence commitments; per the same coverage, a reported Damascus café blast reportedly left nine dead per the Syrian interior ministry, underscoring the reported persistence of regional volatility beneath the diplomatic track. **Think Like an Owner.**

KHAMENEI July 4–9 · Iran & Iraq processions per CBS/CNN ·
FUNERAL mediator track reportedly offline

DOHA TRACK Constructive progress reported per Qatari mediators ·
reported denuclearization thread barely touched per Al Jazeera

OPEC+ SUNDAY Reportedly ~188K bpd August hike expected per Reuters/CNBC · reported fourth consecutive increase

IRAN–JAPAN OIL Three buyers reportedly exploring purchases per Reuters · waiver reportedly expires Aug 21

HORMUZ TOLL DISPUTE Reportedly hardest open item per Axios · supply-side wildcard

CMA CGM SAN ANTONIO Reportedly may go for scrap per gCaptain · May missile strike damage

On Our Radar

1. Week Ahead — Markets Reopen Monday July 6 Into ISM Services (Mon) and the Wednesday July 8 Release of the Reported First Warsh-Chaired FOMC Minutes per Kiplinger; Thursday July 9 Brings PepsiCo (PEP) With Levi Strauss (LEVI)

Reportedly on Wednesday and Delta Air Lines (DAL) Reportedly on Friday July 10 per Seeking Alpha, Kiplinger, and Delta's IR Calendar. Per Kiplinger's week-ahead calendar and Seeking Alpha coverage, the Monday session opens with ISM Services PMI and prices data for June, the Wednesday release brings the June FOMC minutes reportedly as the primary rate-path signal into the July 29 meeting (now set against the reported +57K June payrolls miss vs the reported ~115K Dow Jones consensus per BLS/CNBC), and Thursday delivers initial jobless claims and existing home sales alongside the PEP print, with DAL reportedly on Friday. PEP (not an FCI position) reportedly stands as the Q2 earnings kickoff bellwether for consumer staples. Per Federal Reserve coverage, the June meeting reportedly held the target range at 3.50–3.75% and reportedly pared its cutting-bias language per CNBC; per Kiplinger, Chair Warsh reportedly chose not to participate in the June dot plot per Kiplinger. *Research Reveals Opportunities.*

2. OPEC+ Sunday Meeting Reportedly Weighs a Fourth Consecutive ~188K bpd Output Increase for August per Reuters/CNBC — Layered on a Reported Fourth Consecutive Weekly Crude Decline per Nationalnews as Hormuz Shipping Recovers; Reported Citigroup View Sees Brent to \$60 by Year-End Per the Same Coverage.

For FCI's energy sleeve, the Sunday decision reportedly reshapes the supply-side setup into Monday's reopen. Per Nationalnews and OilPrice coverage, Brent was reportedly near \$71.79 and WTI near \$68.50 Friday, with Saudi crude exports reportedly recovered to ~90% of pre-war levels and UAE exports reportedly restored to pre-war levels. Thursday's USO closed at \$103.98 (↑0.69%) and BNO at \$39.67 (↑0.66%) per the data drop; FCI upstream (CVX \$169.20 ↑2.12%, OKE \$87.83 ↑2.45%, DVN \$40.47 ↑0.55%, CNX \$33.84 ↑0.89%) reportedly held bid ahead of the supply-side print. Per Reuters coverage in the data drop, Iran has reportedly begun exploring oil sales to Japan with a reported August 21 sanctions waiver expiration governing the window. **The physical world matters.**

3. Khamenei Funeral (July 4–9) and Doha Pause — Multi-Day Ceremonies Reportedly Continue Across Iran and Iraq per CBS/CNN Coverage, With Doha Diplomacy Reportedly Rescheduled Post-Funeral per Deccan Herald and the Reported Hormuz Toll Question Reportedly the Hardest Open Item per Axios.

Per CBS News and CNN live coverage, the funeral procession spans locations across Iran and Iraq through July 9, with mourners reportedly gathering at Tehran's Grand Mosalla. Per Al Jazeera and Times of Israel coverage, the Doha round reportedly registered constructive progress per Qatari mediators although the denuclearization thread is reportedly barely touched. Per Al Jazeera, the reported 60-day negotiating window from the June 17 Islamabad Memorandum reportedly narrows against the funeral pause. For the FCI defense sleeve, LMT at \$545.91 (↑4.62% Thu per the data drop) reportedly firmed on reported \$3.5B Ultra Maritime frontrunner status per Yahoo, with GD at \$373.54 (↑2.94%) reportedly aligned. *Avoid Erosion.*

4. FCI Sleeve Positioning Into the Reopen — Defense (LMT ↑4.62%, GD ↑2.94% Thu per Data Drop) and Precious Metals (GLD ↑2.03%, SLV ↑2.69%) Reportedly Firmed Into the Long Weekend, While the Chip Cohort (LRCX ↓10.19%, MRVL ↓9.84%, CRDO ↓6.63%, KEYS ↓6.48%, AMD ↓4.26%) Reportedly Extended a Two-Session Give-Back Into Q2 Earnings Season.

For the investment committee, the two-session chip pattern reportedly warrants distinguishing between AI-infrastructure names and memory/testing composition into the pending Q2 earnings kickoff. Digital ETFs extended their recovery Thursday with IBIT at \$34.87 (↑2.56%) and ETHA at \$12.86 (↑5.50%) per the data drop; per prior brief coverage citing Benzinga, June spot Bitcoin ETFs reportedly logged a reported ~\$4.5B worst-month outflow, a baseline against which the recovery reads as relief rather than a directional turn. Bitcoin live tape reportedly near \$61,850 into the weekend. Carson's SPY support at \$645.80 remains active, well-removed from Thursday's intraday low \$740.03. **Simplicity Over Complexity.**

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